

generation. Broadly, the passing of wealth can be planned in two ways—through a Will post the demise of a person, or through the creation of a Private Trust—which enables the person to enjoy the assets during their lifetime and also create a framework for smooth succession post their demise.

WHEN THERE'S A WILL

One of the most preferred ways to pass on one's wealth is by making a Will in favour of the inheritors. It is an official document—with details of all the assets of the testator (person whose Will it is)—that specifies how their belongings will be distributed after their death. "A Will lays down the basic groundwork of distribution of assets including

It is important to note that a Will can be amended or overridden multiple times during the lifetime of the testator. This enables one to have complete control over their assets. One of the most essential points about a Will is that it supersedes all nominations in financial assets such as insurance policies and bank accounts, which tells us just how valuable a Will is in the eyes of law.

But a Will has its own limitations. For example, it has a high likelihood of being challenged. "Additionally, it is not possible to maintain ownership or control of assets in a common pool in a Will, which causes the family wealth to be divided. Due to these limitations and concerns about defining family norms and ring-fencing assets from

the operation of family-owned businesses. A major reason for the rising popularity of Private Trusts is also the operation of the Insolvency and Bankruptcy Code (IBC), 2016, which has ensured that even long-standing companies can undergo insolvency proceedings due to a relatively short period of financial strain. In such cases, even the personal or family property of company promoters is not protected because of the personal guarantor clauses present in IBC. Not only that, Bhaskar says that speculation about the introduction of an estate duty by the government has also spurred many business families to consider creating Private Trusts to safeguard their wealth.

One more option of passing on

SUCCESSION PLANNING IS A METHODOLOGICAL STRATEGY TO TRANSFER WEALTH TO THE NEXT GENERATION

movable and immovable properties, and allows for a seamless transfer of the assets to the legal heirs. However, many individuals tend to leave behind multiple Wills, which often leads to legal complications for the heirs," says Himesh Thakur, Senior Associate at PSL Advocates & Solicitors.

It is not mandatory to register a Will. However, registration adds to its authenticity in case it is challenged in the future. A Will can be registered at the local sub-registrar's office in the presence of two witnesses. And it is only considered valid if it is made in compliance with certain legal requirements. For example, it must be made by someone who is of sound mind, free from fraud and undue influence. Also, a minor cannot make a Will. Moreover, it must be written in a clear and unambiguous manner, and be duly signed by the creator along with two witnesses.

legal challenges, Indian businesses are giving serious consideration to succession planning through Private Trusts for the benefits of family members," says Pranav Bhaskar, Partner at SKV Law Offices.

TRUST ME

Private Trusts have become popular in recent years among Indian businesses, especially in light of the volatility in certain businesses during times of succession. Going by its official definition, a Trust is a legal relationship in which the holder of an asset or right (the Settlor) entrusts it to another person or entity (the Trustee/s) for the benefit of another person (the Beneficiary).

The creation of a Private Trust is particularly advisable for someone who owns multiple assets and who wishes to dictate the manner in which certain property should be enjoyed by the beneficiaries, or to create a long-lasting mechanism for

your property is just by gifting it away, but it is not without its downsides. "Whilst gifts made during the lifetime of a person is a simple process, it technically means that the person loses control over the assets, and therefore one must opt for a gift only if the decision to gift the assets is irreversible," says Parekh of DSK Legal.

Further, Yeeshu Sehgal, Senior Associate-Advisory & Tax, AKM Global explains that any sum of money or property received under a Will or as a gift is exempt from any taxes, but charges such as stamp duty, registration and municipal taxes will still be levied.

"However, if a person receives an immovable property without paying anything from any person other than relatives, and the stamp duty value of that property exceeds ₹50,000, then such stamp duty value shall be taxable in his/her hands. On the other hand, if the property is